India may be increased to Rs.15 lakh and Rs.25 lakh in case of studies abroad, from the existing limit of Rs.10 lakh and Rs.20 lakh, respectively.

(viii) The Committee has also recommended allowing non-tradable priority sector lending certificates on a pilot basis with domestic scheduled commercial banks, foreign banks and regional rural banks as market players.

THE MENACE OF NPAS

Non-Performing Assets (NPAs) are bad debts of banks/Financial Institutions defined as follows w.e.f. March 31, 2001:[30]

An advance of banks/FIs where—

(i) interest and/or installment or principal remains overdue for a period more than 180 days in respect of a **term loan:**

(ii) interest and/or installment or principal remains overdue for two harvest seasons but for a period not exceeding two-and-a-half years in the case of **agricultural loans.** The NPAs were classified into three types:

(a) Sub-standard: remaining NPAs for less than or equal to 18 months;

(b) Doubtful : remaining NPAs for more than 18 months; and

(c) Loss assets : where the loss has been identified by the bank or internal/external auditors or the RBI inspection but the amount has not been written off.

As per the All Indian Bank Employees Association (AIBEA), the premier union representing bank workers in India, the menace of NPAs has reached the following levels by March 31, 2001:[31]

- The NPAs of borrowers account owing more than ‘1 crore each to banks/FIs added to ` 80,574 crores
- if interests are also calculated it becomes over ` 1,50,000 crores.
- Nearly 80 per cent of it is owed to the PSBs (public sector banks).